

Fearnleys Dry Bulk Market Outlook

Aug 18, 2025



SUMMARY AND OUTLOOK

From our previous report in early June:

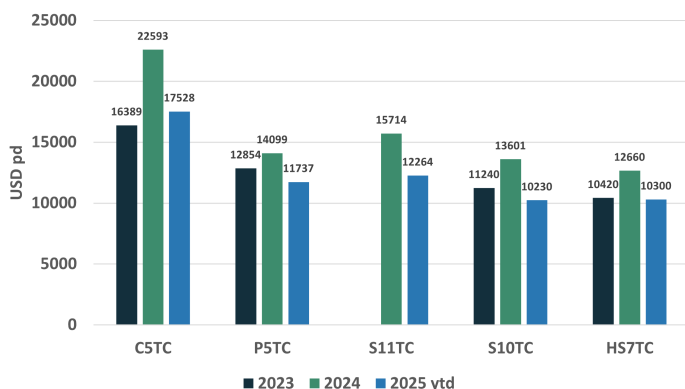
Our view remains that this year will see lower earnings averages than in 2023. Market fundamentals remain sluggish, with shipment volume growth now comparable to years like 2016, 2020, and 2022. We do not expect growth to increase this year, as too many factors weigh heavily.

The question to ask now is whether the market strength seen over the last month and a half is temporary, or whether we have assessed the fundamental picture incorrectly, in the sense that the upcycle we expected to start next year is already here? Most market indicators we use suggest the former, which, along with temporary factors like heatwaves causing a surge in coal demand, a strong ECSAM grain season, and front-running Trump's tariffs, could mean the markets will end this year on a weaker note. The shipment volume development in July was extreme, with the year-on-year growth increasing from an average of around 0% for the first 6 months of the year to 11% in that month - the fourth highest month-on-month change in growth seen through our data going back to the year 2000. Another comparison is that in the last ten years, the only month that compares to July's year-on-year growth rate was April 2021. July's growth rate is not likely to be sustainable, but it is still possible that developments since the panic in April have kicked the global economy into an upcycle, which in our assessment means shipment volume growth could average about 4% over the next year and a half. How so? Disregarding reports of front-running, which, anyway, so far only shows up clearly in US economic statistics and not much elsewhere, the US dollar has weakened considerably since April. This is a reflection of looser financial conditions, and it allows Central Banks to cut interest rates more as they worry less about currency imbalances and inflation. Along with that, oil prices have been low this year, which is a leading indicator of higher economic activity (chart on the last page of this report). Finally, the PBOC has printed money at the highest rate ever this year, another leading indicator of higher economic activity to come. Some data is already showing that construction activity domestically in China is picking up markedly, which is usually followed by higher import growth. These factors we had already pointed to in the previous months, but usually there is a longer lag before it impacts dry bulk markets. Our conclusion from our previous report in early June:

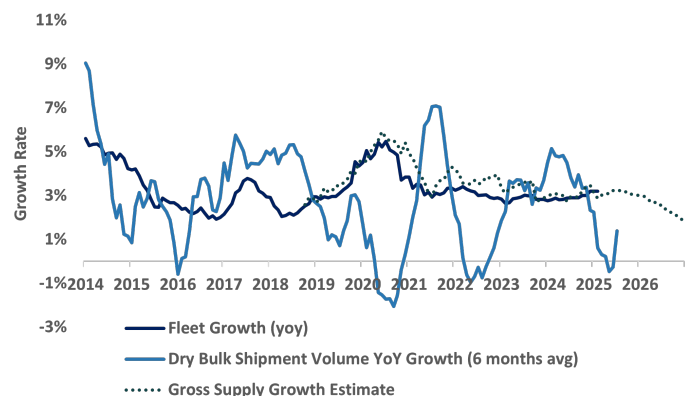
We still expect fundamentals to improve in 2026. A lot of factors are moving in the right direction in that respect. Seaborne iron ore fundamentals are likely to bottom in Q4 this year, whereas coal and minor bulks fundamentals are not likely to bottom before Q1 next year, or maybe even Q2. That means there could be a slow start to the next upcycle, then an acceleration during 2H 2026, with fundamentals subsequently remaining strong through 2027 and probably during parts of 2028.

There is a possibility that we have to change our outlook, with the new timeline being that an upcycle has already begun and that this will last through 2026, then perhaps start fading in 2027. However, we are sceptical that the current market strength is sustainable, and need another month or so to see how shipment volume data, economic data, and the markets develop before making any change.

Earnings Averages 2023, 2024 and 2025 ytd



Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)





Fleet Statistics (In Million DWT)

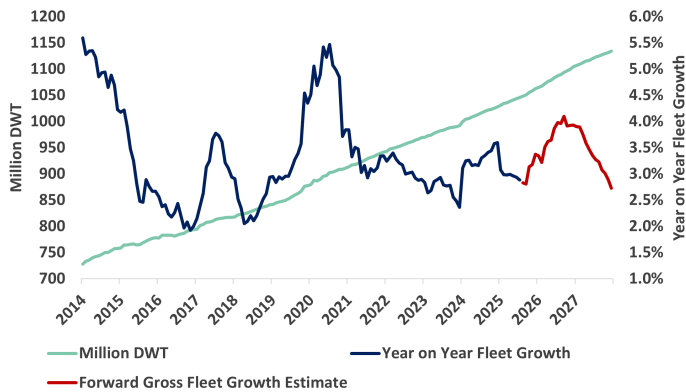
	Total Fleet	CapeNewc	Pmx/Kmx	Smx/Hmx	Handy
2024					
Deliveries	32	7.7	8.8	10.2	5.3
Scrapping	3.3	0.7	1.4	0	1.1
Fleet Growth	3.0%	1.9%	3.0%	5.0%	3.0%
2025 YTD					
Deliveries	21.1	4.4	4.9	8.2	3.6
Remaining on Schedule	17.1	3.2	6.1	5.3	2.5
Scrapping	1.7	0.5	1.2	0	0.7
YoY Fleet Growth (July)	3.2%	1.7%	2.3%	5.6%	4.2%



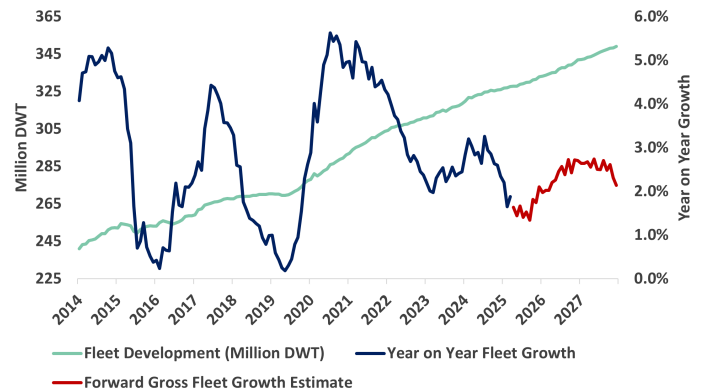


Fleet Growth and Forward Estimates (ex Scrapping and Delivery Delays or Cancellations)

Total Fleet Growth Including Estimate



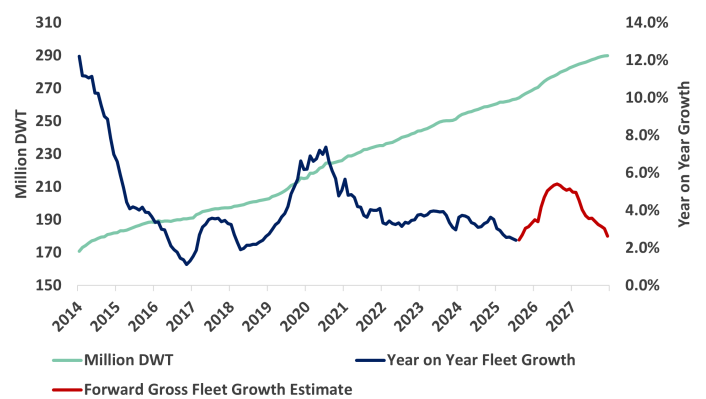
Cape/Newc Fleet Growth Including Estimate



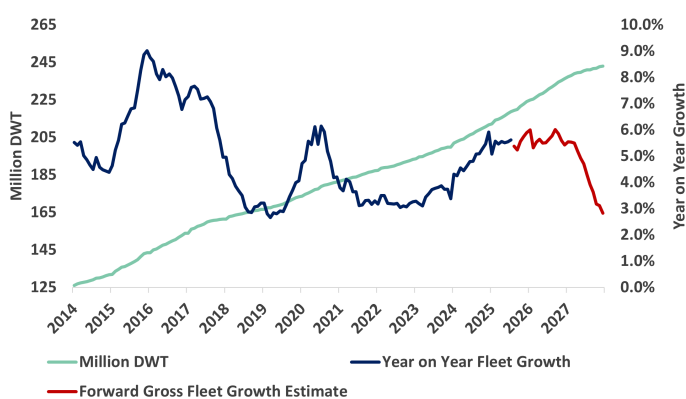
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



PERIOD RATES AND ASSET VALUES

The spread between second-hand values and period rates remains higher than average, although it has narrowed over the last two months.

Capesize:

To bring the average spread down to the last 15 years' average, 1-year TC rates would have to rise to the high twenties, or the 10-year-old value would have to fall below 35 million USD.

Kamsarmax:

The spread is just slightly higher than the average of the last 15 years. A small rise in period rates or a small drop in values would bring the spread "back to normal".

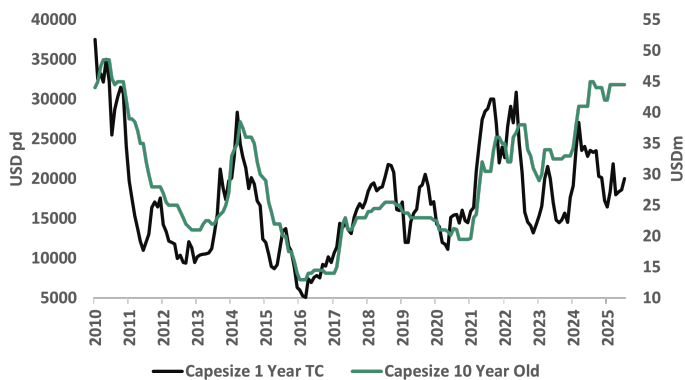
Supramax:

To bring the spread down to the last 15 years' average, the value of a 10-year-old would have to drop to 17 million USD, or the 1-year TC rate would have to rise to 14.500-15.000 USD pd.

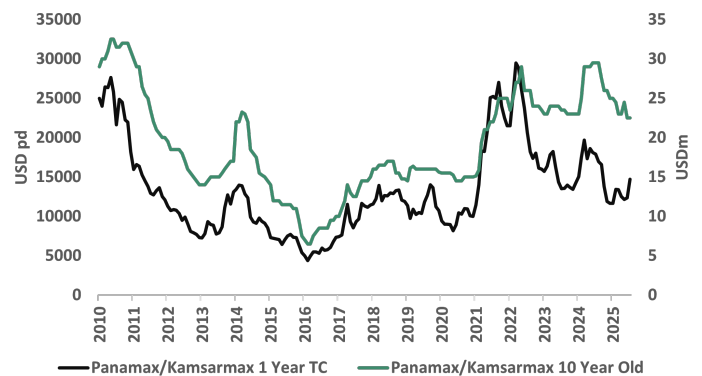
Handysize:

To bring the spread down to the last 15 years' average, the value of a 10-year old would have to drop to around 15 million USD, or the 1-year TC rate would have to rise to around 14.000 USD pd.

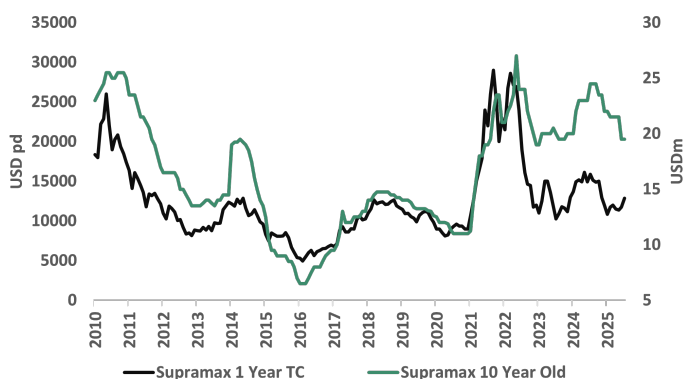
Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)



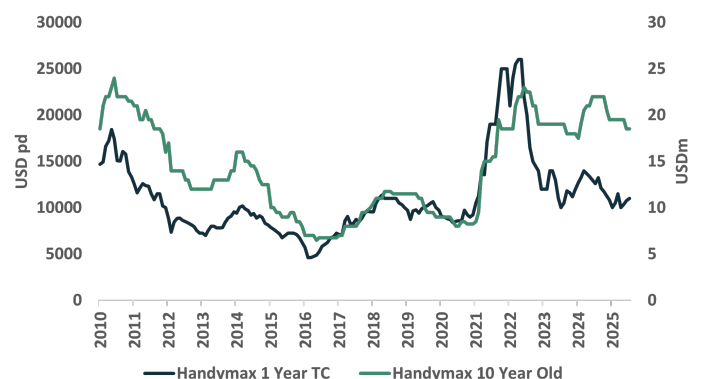
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old (Japanese)



Supramax 1 Year TC vs Supramax 10 Year Old (Japanese)



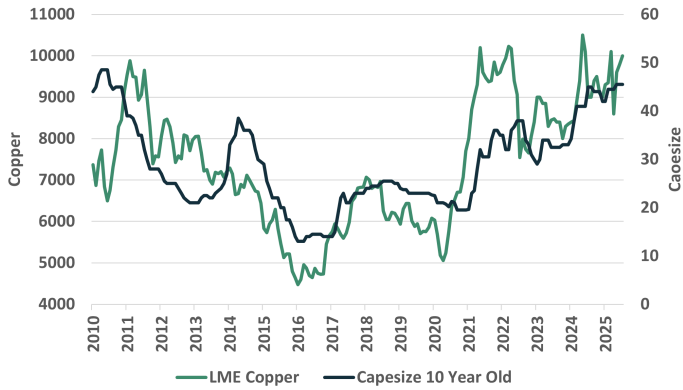
Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)



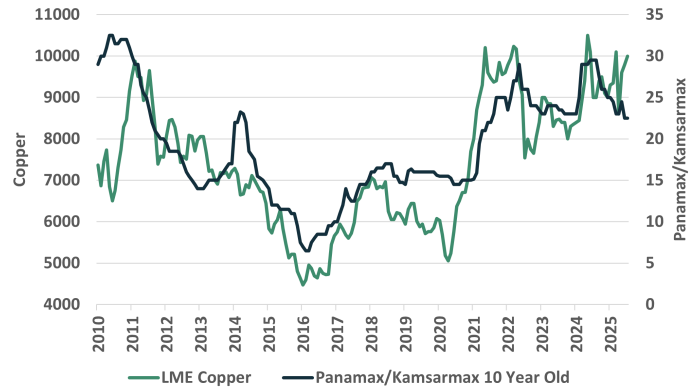
Asset Values vs Commodity Prices

Industrial metal prices often precede the change in second-hand values by around six months. The charts below display the price of copper against second-hand values since 2014. The correlation is high because the price of copper is a barometer of industrial activity and also reflects inflationary or deflationary periods. Copper and other industrial metals are suggesting continued support for asset values.

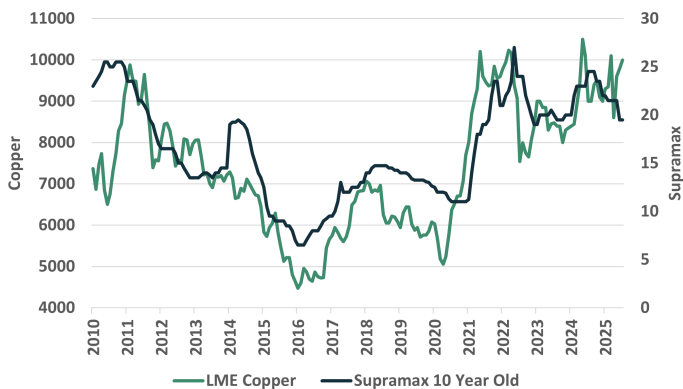
Copper Price vs Capesize 10 Year Old



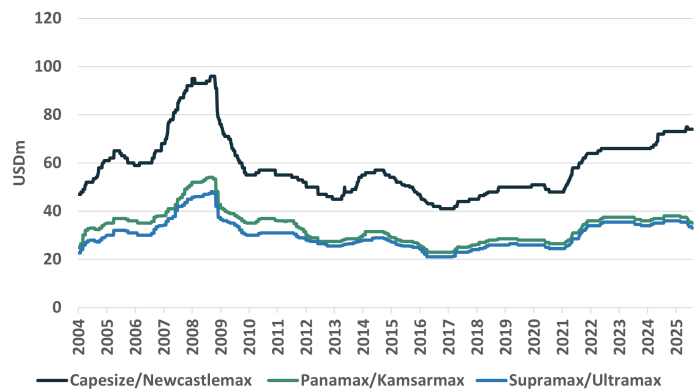
Copper Price vs Kamsarmax 10 Year Old



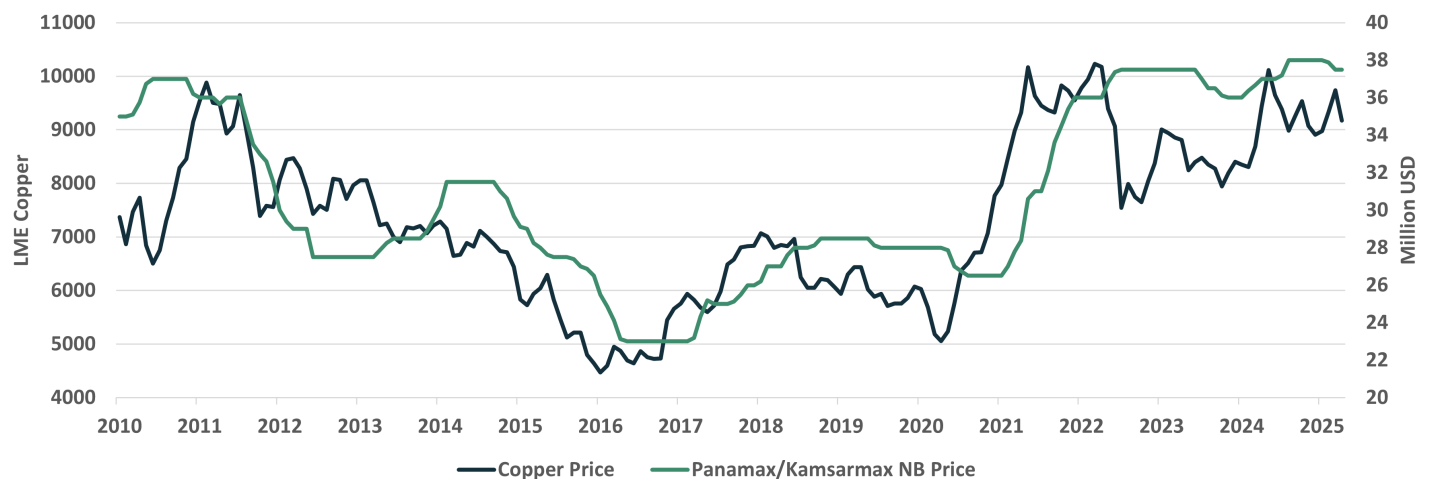
Copper Price vs Supramax 10 Year Old



Dry Bulk Newbuilding Prices



LME Copper Price vs Panamax/Kamsarmax NB Price





TRADE FLOWS YEAR ON YEAR GROWTH

	Iron Ore	Coal	Grains	Others	Total
Apr-24	5%	-3%	10%	8.6%	5%
May-24	5%	2%	3%	5.0%	5%
Jun-24	5%	4%	9%	1.7%	5%
Jul-24	-1%	-4%	5%	0.3%	0%
Aug-24	3%	6%	0%	9.2%	5%
Sep-24	5%	-1%	-5%	10.6%	4%
Oct-24	-5%	4%	0%	5.0%	1%
Nov-24	-1%	5%	0%	10.4%	5%
Dec-24	-4%	-1%	-12%	4.6%	-1%
Jan-25	-4%	-4%	-6%	12.2%	-1%
Feb-25	-6%	-12%	-10%	8.0%	-4%
Mar-25	0%	-7%	-2%	17.7%	2%
Apr-25	1%	-5%	-4%	8.3%	1%
May-25	2%	-12%	-3%	10.6%	1%
Jun-25	1%	-11%	-4%	7.9%	0%
Jul-25	4%	6%	4%	16.2%	11%

	100 - 220 KDWT	25 - 100 KDWT		Far East	India + MEG	Southeast Asia
Apr-24	4.2%	5.8%	Apr-24	5.0%	4.2%	14.9%
May-24	-0.3%	6.9%	May-24	4.2%	4.2%	19.1%
Jun-24	5.5%	7.2%	Jun-24	2.6%	2.0%	4.1%
Jul-24	-0.5%	1.2%	Jul-24	5.3%	8.9%	14.1%
Aug-24	6.0%	3.2%	Aug-24	1.3%	2.8%	17.7%
Sep-24	3.3%	1.9%	Sep-24	0.0%	-2.2%	22.1%
Oct-24	-7.1%	8.4%	Oct-24	5.0%	-4.3%	15.1%
Nov-24	5.3%	6.0%	Nov-24	1.8%	-9.7%	6.2%
Dec-24	-5.5%	-1.7%	Dec-24	5.6%	-0.9%	9.9%
Jan-25	-3.4%	1.3%	Jan-25	-5.6%	7.0%	4.2%
Feb-25	-5.9%	-3.5%	Feb-25	-8.3%	-5.9%	6.2%
Mar-25	-2.0%	4.4%	Mar-25	-0.1%	2.7%	8.2%
Apr-25	-1.0%	-0.2%	Apr-25	-1.4%	2.8%	11.9%
May-25	1.0%	0.5%	May-25	-3.5%	8.4%	-1.8%
Jun-25	-1.0%	1.0%	Jun-25	-6.4%	9.7%	6.6%
Jul-25	3.1%	14.5%	Jul-25	1.8%	10.0%	-6.1%



MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tells us.

Top left chart:

China's credit growth keeps increasing. By the measure we use, credit growth in June was the highest since March 2021. A positive year-on-year change of the BDI from March 2026 onwards is suggested basis a 12 months lead.

Top right chart:

Through the first six months of this year, China's economic growth index has averaged -2.8%, compared to -2.1% for all of 2024.

So, thus far there is not much evidence of the PBOCs stimulus measures reviving the country's economic growth. Concerning dry bulk specifically, steel production is reported to be down 1.1% by WorldSteel, whereas imported iron ore consumption is reported to be up by 4.6%, indicating that it is reduced EAF production that is causing the fall in total steel production. Despite higher imported iron ore consumption, China's iron ore imports are down 2.3% on last year through July, as inventory drawing have subtracted from the demand for imports.

Middle left chart:

Lower crude oil prices are bullish for economic growth, and vice versa. The chart displays that since 2017, there has been a tight correlation between lower year-on-year oil prices and a higher year-on-year BDI, with the oil price change leading by 1 year.

This indicator is suggesting the BDI year-on-year change is past the low point, and that it will trend upwards over the next year.

Middle right chart:

Global interest rate cuts suggest 1 year TC rates will be higher during the second half of 2026 than what it was through the first half of this year. That implies at least the mid-teens for Kamsarmaxes.

Bottom left chart:

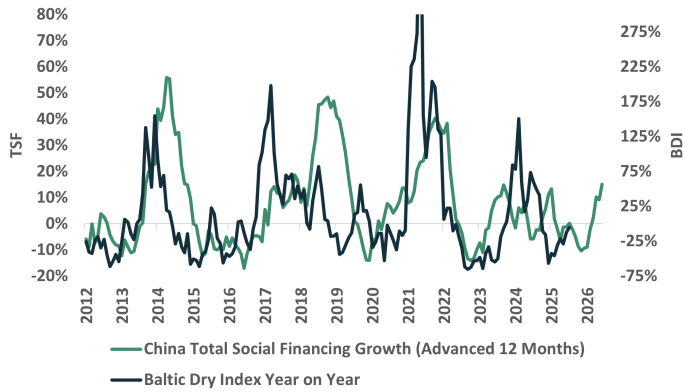
The OECD G-20 Diffusion index and the BDI year on year change have correlated tightly for decades. However, over the last year there has been a decoupling, as the Diffusion index suggest the global economy has started to decelerate from a cycle peak, whereas the BDI year-on-year change have been in downcycle territory since Q4 last year. The main reason for this decoupling is that the services sector has driven most of global economic growth over the last year, whereas manufacturing has been weak. That, in turn, is probably an after-effect of the manufacturing boom/services depression seen through the lockdown period of 2020-2022.

Bottom right chart:

The dollar index has weakened in the last months, and as usual, the result is increased dry bulk shipment volume growth with a few months' lag. The dollar index suggests total dry bulk shipment volume growth is past the cycle bottom.



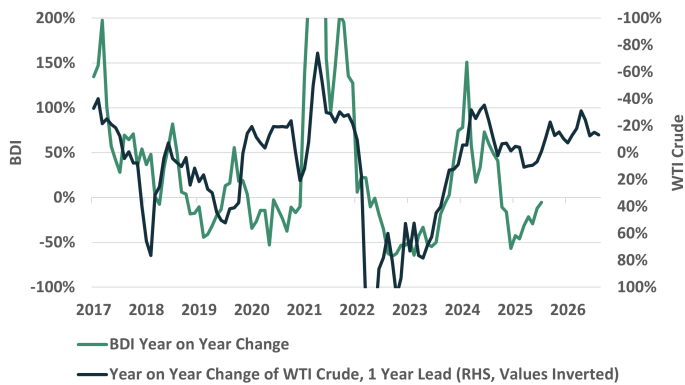
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



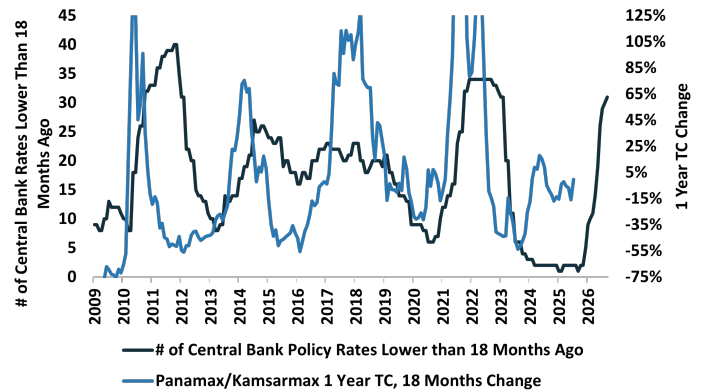
China Economic Growth Index vs Global Dry Bulk Shipments Growth



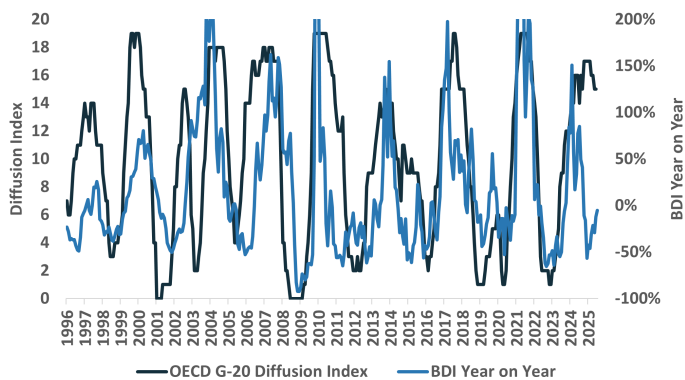
WTI Crude Oil Price YoY, 1 Year Lead vs BDI YoY



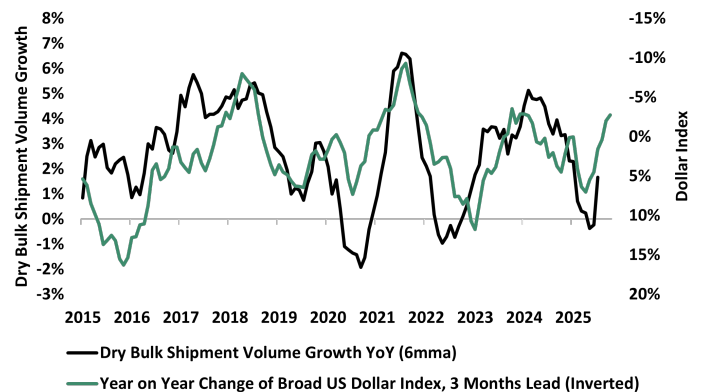
of Central Bank Rates Lower than 18 Months Ago, vs Pmx/Kmx 1 Year TC 18 Months Change



OECD G-20 Diffusion Index vs BDI YoY



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, MySteel, AxsMarine, Baltic Exchange



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